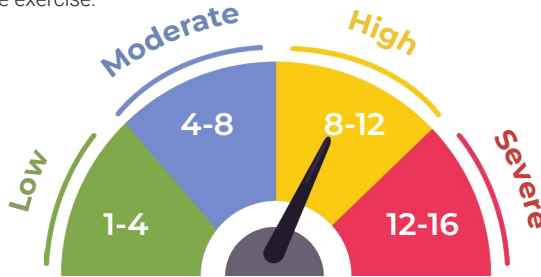


Level of Risk

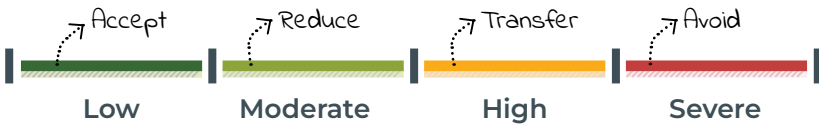
We can look at the level of risk based on the method in the previous page. However, it is going to be a very subjective exercise.



The Third Step - Risk Strategies.

Once the risk has been assessed, its frequency and severity of impact have been understood, the next phase focuses on risk strategies— that is developing policies and procedures for dealing with risks, both before and after they happen.

Strategy for Risk



Avoid risks that occur very frequently and have significant consequences. Firms must find a way to avoid risks that affect their survival. Accepting such risks would lead to constant hiccups on the path of growth or survival challenges with the company.

Transfer risks that have significant consequences but do not occur very frequently. Transfer them to others by paying a premium for the transfer. Some ways to transfer risk to another party are through insurance, outsourcing, joint ventures, or partnerships. This way the risk is shared.

